

Decoding Customer Value

Executive Summary

Business Objective

Assess customer behavior patterns to determine which customers generate the greatest business value, identify segments at risk of churn, evaluate discount dependency, and recommend strategies for sustainable revenue growth.

KEY FINDINGS

1. Potential Loyalists are the largest customer segment, representing the strongest growth opportunity.
2. Footwear demonstrates the highest customer loyalty and retention performance.
3. A significant At-Risk segment highlights the need for proactive retention efforts.
4. Geographic variations reveal untapped opportunities across underperforming markets.

STRATEGIC RECOMMENDATIONS

- Convert Potential Loyalists into Champion customers through targeted loyalty programs.
- Increase investment in high-performing product categories such as Footwear.
- Launch retention campaigns to reduce customer churn.
- Implement region-specific strategies to improve market performance.

EXPECTED BUSINESS IMPACT

- ✓ INCREASED CUSTOMER RETENTION
- ✓ HIGHER CUSTOMER LIFETIME VALUE
- ✓ REDUCED DISCOUNT DEPENDENCY
- ✓ SUSTAINABLE REVENUE GROWTH

KEY METRICS

716 POTENTIAL LOYALISTS

687 CHAMPION CUSTOMERS

#1 LOYALTY CATEGORY:
FOOTWEAR

657 AT-RISK CUSTOMERS

The analysis indicates that focusing on loyalty-driven growth and targeted retention strategies can improve customer value while reducing promotional dependency.